IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH–I, CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **12.03.2026** THROUGH VIDEO CONFERENCING

CORAM: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER : CA(CAA)/102(CHE)/2025

PETITION NUMBER : CP(CAA)/10/CHE/2026

NAME OF THE PETITIONER(S) : Ashok Magnetics Ltd.

NAME OF THE RESPONDENT(S) :

UNDER SECTION : Sec 230-232 of CA, 2013

ORDER

Present: Shri. R. Subramananiam Ld. Counsel for the Liquidator along with Liquidator.

Shri. Rajesh Bohra, Ld. Counsel for the Scheme Proponent.

Vide separate order pronounced in the Open Court, the scheme is approved.

Sd/-
[VENKATARAMAN SUBRAMANIAM]
MEMBER (TECHNICAL)

Sd/-
[SANJIV JAIN]
MEMBER (JUDICIAL)

vs

Date: 12.03.2026

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH – I, CHENNAI

CP(CAA)/10(CHE)/2026
in
CA(CAA)/102(CHE)/2025
in
CP(IBC)/551(CHE)/2017

(filed under Section 230 to 232 of the Companies Act, 2013 and other applicable provisions of the companies Act, 2013 and rules framed thereunder)

In the matter of ***Ashok Magnetics Limited under Liquidation***

Ashok Magnetics ltd,
Represented by its Liquidator Mr. V.Nagarajan
having his office at "Vignesh Villa" B-3, 3rd Floor,
No.56, Seventh Avenue, Ashok Nagar,
Chennai 600 083

… Petitioner

Order pronounced on ***12th March 2026***

CORAM :

SANJIV JAIN, MEMBER (JUDICIAL)

VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Present:
For Petitioner liquidator : R.Subramanian, Advocate

O R D E R

(Heard through Hybrid Mode)

1. This Petition has been filed under Section 230 and other applicable provisions of the Companies Act, 2013 read with regulation 2B of the IBBI (Liquidation Process) Regulations, 2016, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the NCLT Rules, 2016, by

the Liquidator of **Ashok Magnetics Limited** being the Company Under Liquidation seeking the following reliefs:

a. That the scheme of compromise proposed by Anuj Kumar Behera may be sanctioned by the Tribunal as to be binding on all the creditors of the company and on the company as set out therein

b. For such other and further reliefs as the nature and circumstances of the case may require.

BRIEF FACTS:

2. The Corporate Debtor was incorporated on 16.04.1993. Main objects of the Company are, to carry on in India or elsewhere in any country or state or part of the world the business of manufacturing, producing, altering, converting, processing, treating, improving, manipulating, extruding, milling, slitting, cutting, casting, forging, rolling and re-rolling of all shapes, sized, varieties, specifications, dimensions, descriptions and strength of iron and steel products including sponge iron, pig iron, malleable iron, S.G.iron, iron ore, steel, etc. Detailed objects are delineated in the Memorandum of Association annexed with the application.

3. Corporate Debtor (herein after CD) was carrying on the business of manufacture of TMT steel bars used in the construction industry. Such manufacturing was conducted at the factory of the Company situated at Eripakkam Village, in the State of Pondicherry.

4. Corporate Debtor for the purpose of its business availed loans from 3 banks viz. Central Bank of India, State Bank of India and Federal Bank Limited (subsequently assigned to Prudent ARC Limited). Such loans were secured by movable assets and also the land building and machinery at Eripakkam

Village, Pondicherry and industrial land at Gummidipoondi. CD also availed loan from Religare Finvest Limited against the mortgage of the office property at Gopalapuram, Chennai.

5. Central Bank of India, State Bank of India, and Federal Bank filed a Section 7 Petition CP/551/2017 before this Tribunal. This Tribunal vide order dated 04.09.2017 admitted Corporate Debtor into Corporate Insolvency Resolution Process (CIRP).

6. The Applicant was appointed as the Resolution Professional. The Applicant filed the application for liquidation as no viable Resolution Plan was approved in respect of the CD. This Tribunal vide Order dated 09.11.2018 ordered for the liquidation of CD and appointed the applicant as the liquidator.

7. In respect of claims invited at the stage of Liquidation, the liquidator received only 3 claims. The table capturing the details of the claims received in Liquidation is as under:

Filed during the Liquidation process - Financial Creditors

Name of the Bankers	Amount in Rs.
Central Bank of India, Chennai	18,09,05,689
Federal Bank Limited, Chennai (Now Prudent ARC)	9,83,15,043
State Bank of India, Chennai	45,38,96,458
Total →	73,31,17,190

8. It is stated that though financial statements of the company reflected mortgage loan in respect of the office property at Gopalapuram, Chennai 600

086 as availed from Religare Finvest Limited, but, no claim was filed by the said lender either during CIRP or in Liquidation.

9. Three creditors namely BKL Steels Private Limited, Dnepro Advisory Private Limited and Toughened Alloys & Steels Private Limited and few others filed the claims at stage of CIRP. The same were rejected by the Applicant in the capacity as Resolution Professional. They have chosen not to file any claims at the stage of Liquidation.

10. The overview providing the status of financial creditors of the CD is extracted below:

Banks and Financial Institutions

(Rs. in lakhs)

S. No.	Particulars	Claims before liquidator	Claims admitted by the liquidator	Present outstanding*
1.	State Bank of India	4538.96	4538.96	4059.01
2.	Central Bank of India	1809.06	1809.06	1617.78
3.	Prudent ARC Ltd. (Assignee of Federal Bank)	983.15	983.15	879.26
4.	Religare Finvest Limited	NIL	NIL	206.81
	Total	7331.17	7331.17	6762.86

Others

(Rs. in lakhs)

S. No.	Particulars	Claims before liquidator	Claims admitted by the liquidator	Present outstanding*
1.	Toughened Alloys & Steels Pvt Ltd.	Not filed	NA	2404.85
2.	BKL Steels Pvt Ltd	Not filed	NA	1243.98
3.	Dnepro Advisory Pvt Ltd	Not filed	NA	166.62
	Total		NIL	3815.45

11. During the pendency of Liquidation, 3 bank lenders opted to stay out of the liquidation and chose to enforce their securities outside the Liquidation. The liquidator sold the property being the Windmill asset by Auction as per the Liquidation Regulations. The proceeds were distributed as per Section 53

of the Code. Certain operating cash flows received during the Liquidation were also distributed.

12. During the pendency of Liquidation, the dues of the Company to Federal Bank Ltd were assigned to Prudent ARC Limited. Prudent ARC Limited stepped into the shoes of claim admitted in respect of Federal Bank Limited.

13. Against the Liquidation Order dated 09.11.2018, Mr. Ajay Agarwal, one of the suspended directors of the Company filed Appeal bearing Appeal No. 792/2018 before the Hon'ble NCLAT. The Hon'ble NCLAT vide Order dated 22.02.2019 directed the Applicant to consider schemes under Section 230 of Companies Act, 2013.

14. Applicant issued public notice for inviting the Scheme u/s 230 of the Companies Act, 2013. Pursuant to that, the applicant received 3 Schemes under Section 230. One of the Scheme Applicant filed an Application MA/576/2019 before the NCLT for taking up his Scheme. The NCLT vide Order dated 11.03.2020 directed as follows:

"12. Taking into consideration the above decision of Hon'ble NCLAT in Y. Shivram Prasad Vs S. Dhanapal as well as exercising the inherent power conferred under Rule 11 of the NCLT Rules, 2016, we direct the Liquidator to constitute to CoC and place all the three Schemes, the details of which have already been given as extracted from the Application filed by the Applicant, before the CoC and the CoC shall take a call on the Scheme in the light of Section 230 of the Companies Act, 2013

15. This Tribunal's Order dated 11.03.2020 was challenged by M/s Shakambri Traders, who had also submitted the Scheme u/s 230 of the Companies Act, 2013, before Hon'ble NCLAT in Company Appeal (AT) (Insolvency) No. 490 of 2020, challenging the procedural part of the Order dated 11.03.2020. Pending appeal before Hon'ble NCLAT, liquidator did not proceed further and awaited for the outcome of the Appeal. On 03.07.2025, Company Appeal (AT) (Insolvency) No. 490 of 2020 was withdrawn by Shakambri Traders.

16. The Applicant thereafter sought for revised Scheme u/s 230 of the Companies Act, 2013 vide letter dated 24.07.2025. In terms of the above, the Applicant received the Scheme submitted by Anuj Kumar Behera.

17. Anuj Kumar Behera was one of the director of the Corporate Debtor with 0.01 % of shareholding in the Corporate Debtor. The Applicant has filed a memo dated 21.01.2026 and placed the declaration certifying eligibility under Section 29A of IBC, 2016.

18. Anuj Kumar Behera (Scheme Proponent) also independently approached the Financial Creditors with a one-time settlement proposal. Pursuant to the terms of proposal, the Scheme Proponent proposed the Scheme of Compromise with the Financial Creditors.

19. It is stated that, the Scheme as proposed by the Scheme Proponent includes Religare Finvest Limited, BKL Steels Private Limited, Dnepro Advisory Private Limited and Toughened Steel and Alloys Private Limited as creditors in view of charges in their favour having been recorded with the Registrar of Companies. The Scheme proposes for settlement with the

Financial Creditors (3 claimants) in liquidation and 4 non-claimants on the terms set out therein.

20. It is stated that, the sanction of the scheme of compromise having been approved by 100% of the creditors and implementation of the same envisaging settlement of the dues and revival of the company will be for the benefit of the Company and in accordance with the object of the IBC.

21. It is stated that, this application is a Scheme of Compromise related only to the financial creditors, therefore no notice is required to be given to any other person, being a scheme of compromise at the stage of liquidation.

22. It is stated that, the Scheme as envisaged in the Application is a settlement with the creditors and not a scheme of Corporate Debt Restructuring.

23. It is stated that the provisions of Section 230(2) of the Act 2013, which mandates for *interalia* providing latest financial position and latest auditors report, will not apply, as the Scheme of Compromise is proposed in respect of a company in liquidation.

24. The Liquidator had filed an application **CA(CAA)/102(CHE)/2025** on 02.12.2025 seeking for dispensing with the meeting of the Stakeholders of the Corporate Debtor.

25. Hon'ble NCLAT in the case of Company Appeal (AT)(Insolvency) No. 1460 of 2022 dealing with the question as to whether there is a requirement for convening meeting of creditors and sending notice to the statutory authorities held as under,

9. The sole Financial Creditor having approved the scheme, the condition as provided in Section 230(9) were clearly met and the Tribunal can very well dispense with the calling of a meeting of creditor or class of creditors. Present is a case where hundred per cent of the Financial Creditor has approved the scheme.

10. We thus are of the view that direction of the Tribunal in paragraph 15-16 needs to be set aside and the Adjudicating Authority is required to consider the dispensation of the second motion notice in view of the facts of the present case as per Section 230(9) of the Companies Act, 2013.

The Appeal is disposed of, accordingly.

26. In terms of the above judgment of the Hon'ble NCLAT, this Tribunal vide order dated 10.02.2026 in CA(CAA)/102(CHE)/2025 dispensed with the meeting of the creditors and dispensed with the requirement to send notices to statutory authorities.

27. Pursuant to that, the liquidator filed this petition CP(CAA)/10(CHE)/2026 seeking for approval of the Scheme.

DETAILS OF PROPOSED SCHEME

28. The Scheme envisages for the investment by investor – SDSR Steels Pvt. Ltd., who will be inducting Rs. 2500.00 lakhs towards settlement of the Secured Financial Creditors and working capital i.e., Rs.1000 lakhs will be by equity and Rs.1500 lakhs by long term debts. The investor shall be issued 1,00,00,000 shares of Rs.10 each amounting to Rs.1000.00 Lakhs.

29. Revised Capital Structure of the Company will be as under:

Revised Capital structure of the Company will be as under:

Particulars	Number of shares	Amount
Authorised Capital 300 lakhs equity shares of FV of Rs. 10 each	30,00,00,00	30,00,00,000
Subscribed and Paid-up Capital 75,00,000 equity shares of Face Value of Rs. 10 each	75,00,000	7,50,00,000

30. The Existing and proposed shareholding pattern as provided in the Scheme is extracted here below:

Shareholding pattern will be as under:

Existing Shareholding

S.No.	Name of Shareholder	No. of shares	Shareholding %age
1.	Ajay Agarwal	400	0.01
2.	Corbin Trades Investments Limited	5522600	73.63
3.	Ruli Ram Agarwal & Sons	56000	0.75
4.	Ruli Ram Agarwal	11200	0.15
5.	Shweta Agarwal	4250	0.06
6.	Anuj Kumar Behera	1000	0.01
7.	Public Shareholding	1904550	25.39
	Total	75,00,000	100%

Proposed shareholding

S.No.	Name of Shareholder	No. of shares	Shareholding %age
1.	SDSR Steels Pvt. Ltd. (Investor)	10000000	57.14
2.	Ajay Agarwal	400	0.01
3.	Corbin Trades Investments Limited	5522600	31.56
4.	Ruli Ram Agarwal & Sons	56000	0.32
5.	Ruli Ram Agarwal	11200	0.06
6.	Shweta Agarwal	4250	0.02
7.	Anuj Kumar Behera	1000	0.01
8.	Public Shareholding	1904550	10.88
9.			
	Total	1,75,00,000	100%

31. Clause 8.2 of the Scheme provides for disbursement of debt and the same is extracted below:

8.2 Disbursement of Debt.

The Rs. 1500.00 Lacs being inducted by the investor towards settlement of the secured financial creditors and working capital as debt in the company, will be secured by creation of charge on all the assets of the corporate debtor.

32. Clause 9 of the Scheme providing Cost and means of finance is extracted below:

9. COST OF SCHEME AND MEANS OF FINANCE

COST OF SCHEME

Particulars	Amount (Rs. in lacs)
Payment to secured financial creditors for Pondicherry unit	2200.00
Payment to Religare Finvest Ltd.	148.49
Required working capital	151.51
Total	**2500.00**

MEANS OF FINANCE

Particulars	Amount (Rs. in lacs)
Proposed equity from investors	1000.00
Proposed Debts from investors	1500.00
Total	**2500.00**

The applicants under take that they will undertake to meet any shortfall in infusion of equity by the investor and they shall be each severally responsible to comply with the terms of the scheme even in the event of any failure by the investor in respect of the financial obligations.

The applicants under take that even in event of any of the applicants withdrawing from the scheme, the other applicants/ applicant as the case may be shall continue to be responsible for the completion of all obligations under the scheme.

PAYMENTS TO CREDITORS

33. The Creditors of the CD are as below:

Banks and Financial Institutions

(Rs. in lakhs)

S. No.	Particulars	Claims before liquidator	Claims admitted by the liquidator	Present outstanding*
1.	State Bank of India	4538.96	4538.96	4059.01
2.	Central Bank of India	1809.06	1809.06	1617.78
3.	Prudent ARC Ltd. (Assignee of Federal Bank)	983.15	983.15	879.26
4.	Religare Finvest Limited	NIL	NIL	206.81
	Total	7331.17	7331.17	6762.86

Others

(Rs. in lakhs)

S. No.	Particulars	Claims before liquidator	Claims admitted by the liquidator	Present outstanding*
1.	Toughened Alloys & Steels Pvt Ltd.	Not filed	NA	2404.85
2.	BKL Steels Pvt Ltd	Not filed	NA	1243.98
3.	Dnepro Advisory Pvt Ltd	Not filed	NA	166.62
	Total		NIL	3815.45

34. The Clause 7.1.1 of the Scheme provides for treatment of Secured Financial Creditors and the same is extracted below:

7.1.1 Secured Financial Creditors

Banks & Financial Institutions (Pondicherry Unit)

1.1 As per the provisional financial statement as on 31.03.2025, outstanding dues of State Bank of India, Central Bank of India (Lead Banker) and Prudent ARC Ltd. (Assignee of Federal Bank Ltd.), which are in default, have been detailed below:

(Rs. in lacs)

S. No.	Particulars	Claim with Liquidator	Amount realized from sale of assets	Amount paid during CIRP/liquidation	Balance outstanding as on date
1.	State Bank of India (SBI)	4538.96	342.38	137.57	4059.01
2.	Central Bank of India (CBI)	1809.06	136.46	54.82	1617.78
3.	Prudent ARC Ltd., (Assignee of The Federal Bank)	983.15	74.09	29.80	879.26
	Total	7331.17	552.94	222.19	6556.05

(a) The Applicants have already submitted composite proposal of settlement of all the above three secured financial creditors for Rs. 2200.00 lacs. Out of which, 25% i.e., Rs. 550.00 lacs have already

been deposited by the investor, SDSR Steels Pvt Ltd. to show the bonafide into the No Lien Account (NLA) of Central Bank of India.

The balance payment of 75% of above amount would be paid by the investor, SDSR Steels Pvt Ltd. within 30th day from the date of approval of the scheme u/s 230 of the companies Act, 2013 by Hon'ble NCLT, Chennai.

Such Payment would be also be kept in NLA by Central Bank of India on deposit and would be appropriated along with the keenness amount of Rs. 550.00 lacs already paid lying in NLA subject to the following:

(i) The above payments proposed to the above financial creditors would be factored as it is in the Scheme u/s 230 of the Companies Act, 2013 and all the payments so made by the investor, SDSR Steels Pvt Ltd., which will continue to remain in NLA with Central Bank of India would be appropriated after giving effect to the approved scheme u/s 230 of the Companies Act, 2013 by the Hon'ble NCLT, Chennai. All the above financial creditors would vote in favour of the Scheme submitted by the Applicants Mr. Anuj Kumar Behera only. On approval of the Scheme by the Hon'ble NCLT, Chennai and upon appropriation of entire settlement amount by the financial creditors, the secured financial creditors undertakes to:

   (a) Release of personal guarantee of all the 4 personal guarantors by Prudent ARC.

   (b) Release of corporate guarantee given by M/s Ashok Memory (India) Pvt. Ltd by Secured financial Creditors..

(c) Withdrawal of OA no. 152/2016 (AT 1595/23) and OA No. 114/2017 (TA 1886/2023) filed in DRT, Chennai.

(d) Personal Guarantors will be submitting a separate OTS proposal for release of Personal Guarantees and Corporate Guarantees, State Bank of India and Central Bank of India will consider the same.

(e) Withdrawal of all applications in NCLT in CP/551(IBC)/2017.

(f) Withdrawal of all applications before DRT, Chennai in respect of the company.

(g) The secured financial creditors will release and vacate the charges created with the ROC and SRO on all assets of the corporate debtor. On approval of the scheme by the NCLT the charge so released/vacated by the financial creditors will automatically be created by the operation of this order in favour of the investor without requiring any act of the applicant or the Investor or the company. For registration of charge with ROC AND SRO the necessary documents being the certified copy of the order of the Hon'ble NCLT approving the scheme would be filled by the new management of the corporate debtor.

(h) All the above secured financial creditors will not pursue the application under the section 43,45 and 66 of the IBC.

(i) To release/handover the original Title Deeds of all assets of the company to Mr. Anuj Kumar Behera within seven days of receipt of settlement amount of Rs. 22 Crores by the banks and financial institutions (secured financial creditors).

(j) Upon Scheme approval by NCLT and receipt of payments by secured financial creditors, State Bank of India to remove the

name of Corporate Debtor, Guarantors and Directors from Wilful Defaulters lists.

Financial Institution (Gopalapuram, Chennai)

This property is exclusively charged to Religare Finvest Limited and we understand that outstanding as on date is 206.81 lacs. 71.8 % of the above outstanding dues will be directly paid by the Investor within 30 days from the date of approval of the Scheme u/s 230 of the Companies Act, 2013 by the Hon'ble NCLT, Chennai.
With the entire payment of settlement amount, the Religare Finvest Limited would:

a) Release personal guarantee of all the 4 personal guarantors.
b) Release of corporate guarantee given in respect to above Loan by any corporate on behalf of the Company, M/s Ashok Magnetics Ltd.
c) Religare finvest will release and vacate the charges created with the ROC and SRO on the assets of the corporate debtor. On approval of the scheme by the NCLT the charge so released/vacated by religare finvest will automatically be created in favour of the investor. For registration of charge with ROC AND SRO the necessary documents would be filled by the new management of the corporate debtor.
d) To release / handover the Original Title Deed of the Property to the Investor within seven days of receipt of settlement amount as proposed in the Scheme.

Other Secured Financial Creditors

(Rs. in lakhs)

S. No.	Particulars	Claims before liquidator	Claims admitted by the liquidator	Present outstanding*
1.	Toughened Alloys & Steels Pvt Ltd.	Not filed	NA	2404.85
2.	BKL Steels Pvt Ltd	Not filed	NA	1243.98
3.	Dnepro Advisory Pvt Ltd	Not filed	NA	166.62
	Total		NIL	3815.45

None of the above secured financial creditors is being proposed any amount in view of no claim before Liquidator and the claims will be extinguished. The charges in their favour registered at registrar of Companies would stand automatically extinguished also.

35. Clause 7.1.2 of the Scheme provides that, since there are no unsecured financial creditors in terms of the Claims before the liquidator, hence no provision of their payment has been made in the Scheme.

36. Clause 7.1.3 of the Scheme provides for the payment to the Operational Creditors. It is provided that, since there are no outstanding amount pending towards trade creditors, statutory dues and payment to workers/employees, no provisions for their payment have been made in the Scheme.

37. Clause 7.2 of the Scheme provides that there are no provisions for any contingent liabilities and if any contingent liabilities arise, the same will be deemed to be extinguished in view of no claim filed before the liquidator.

38. The effective date as provided by the Scheme proponent is the date on which the certified copy of the Order under Section 230 of the Companies Act,

2013 and other applicable provisions of the relevant Companies Act is duly filed with the Registrar of Companies, Chennai.

39. Clause 12 of the Scheme provides for Supervision and implementation of the Scheme and the same is extracted below:

12. SUPERVISION AND IMPLEMENTATION OF THE SCHEME

12.1 The Implementation of the scheme shall commence from the date of approval of the same by the Hon'ble NCLT, Chennai.

12.2 The scheme dues will be paid by the applicant/ investor within 30 days of the scheme approval.

12.3 Within 7 days of payment of the entirety of scheme dues by the applicants, the Liquidator to hand over the charge of affairs of the Company to the Applicants. All the records, books of accounts, assets of Company, documents, agreements copy shall be handed over to them on effective date.

12.4 All the workers and Employees shall continue in the employment. The performance of each employee will be judged on the basis of their performance, capabilities, experience and accordingly he will be assigned functions and duties.

12.5 The Scheme approved by Adjudicating Authority shall be implemented within 90 days from the date of approval of the order unless otherwise specified under the scheme.

12.6 The Applicants will have the option to pre-pay the dues of the banks, Creditors, etc. without any additional levies.

FINDINGS AND ORDER

40. Regulation 2B provides for compromise or arrangement. It reads as

Where a compromise or arrangement is proposed under section 230 of the Companies Act, 2013 (18 of 2013), it shall be completed within ninety days of the order of liquidation under section 33:

PROVIDED that a person, who is not eligible under the Code to submit a resolution plan for insolvency resolution of the corporate debtor, shall not be a party in any manner to such compromise or arrangement.

2) The time taken on compromise or arrangement, not exceeding ninety days, shall not be included in the liquidation period.

3) Any cost incurred by the liquidator in relation to compromise or arrangement shall be borne by the corporate debtor, where such compromise or arrangement is sanctioned by the Tribunal under sub section (6) of section 230:

PROVIDED that such cost shall be borne by the parties who proposed compromise or arrangement, where such compromise or arrangement is not sanctioned by the Tribunal under sub-section (6) of section 230.].

41. Section 230 of the Companies Act, 2013 provides power to compromise or make arrangements with Creditors and Members. Section 230(1) reads as under:

1). Where a compromise or arrangement is proposed-

a) between a company and its creditors or any class of them; or

b) between a company and its members or any class of them,

the Tribunal may, on the application of the company or of any creditor or member of the company, or in the case of a company which is being wound up, of the liquidator appointed under this Act or under the Insolvency and

Bankruptcy Code, 2016, as the case may be, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs. Explanation.- For the purposes of this sub-section, arrangement includes a reorganisation of the company's share capital by the consolidation of shares of different classes or by the division of shares into shares of different classes, or by both of those methods

(3) Where a meeting is proposed to be called in pursuance of an shall be sent to all the creditors or class of creditors and to all the members or class of members and the debenture-holders of the company, individually at the address registered with the company which shall be accompanied by a statement disclosing the details of the compromise or arrangement, a copy of the valuation report, if any, and explaining their effect on creditors, key managerial personnel, promoters and non-promoter members, and the debenture-holders and the effect of the compromise or arrangement on any material interests of the directors of the company or the debenture trustees, and such other matters as may be prescribed:

Provided further that where the notice for the meeting is also issued by way of an advertisement, it shall indicate the time within which copies of the compromise or arrangement shall be made available to the concerned persons free of charge from the registered office of the company.

(4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice: Provided that any objection to

the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement.

(5) A notice under sub-section (3) along with all the documents in such form as may be prescribed shall also be sent to the Central Government, the income-tax authorities, the Reserve Bank of India, the Securities and Exchange Board, the Registrar, the respective stock exchanges, the Official Liquidator, the Competition Commission of India established under sub-section (1) of section 7 of the Competition Act, 2002 (12 of 2003), if necessary, and such other sectoral regulators or authorities which are likely to be affected by the compromise or arrangement and shall require that representations, if any, to be made by them shall be made within a period of thirty days from the date of receipt of such notice, failing which, it shall be presumed that they have no representations to make on the proposals.

(6) Where, at a meeting held in pursuance of sub-section (1), majority of persons representing three-fourths in value of the creditors, or class of creditors or members or class of members, as the case may be, voting in person or by proxy or by postal ballot, agree to any compromise or arrangement and if such compromise or arrangement is sanctioned by the Tribunal by an order, the same shall be binding on the company, all the creditors, or class of creditors or members or class of members, as the case may be, or, in case of a company being wound up, on the liquidator [appointed under this Act or under the Insolvency and Bankruptcy Code, 2016, as the case may be,] and the contributories of the company.

(9) The Tribunal may dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent. Value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement.

42. The liquidation in the present case was ordered on 09.11.2018. The Applicant sought for revised Scheme u/s 230 of the Companies Act, 2013 vide letter dated 24.07.2025. Subsequently, the liquidator received the Scheme and the present Scheme has been submitted by Anuj Kumar Behera, who is one of the director of Corporate Debtor with 0.01 % of shareholding in Corporate Debtor. The Applicant has annexed the declaration certifying his eligibility under Section 29A of IBC, 2016.

43. The Regulation 2B of Liquidation Rules provides that, a compromise / arrangement can be proposed under Section 230 of the Companies Act. Sanction of a scheme as a facet of liquidation proceedings is recognized in *Arunkumar Jagatranka Vs. Jindal Steel & Power Ltd. & Anr, (2021) 7 SCC 474*.

44. In '*Swiss Ribbons Pvt. Ltd. & Anr. vs. Union of India & Ors. – Writ Petition (Civil) No. 99 of 2018'*, Hon'ble Supreme Court by its judgment dated 25th January, 2019, observed as follows:

"11. ……What is interesting to note is that the Preamble does not, in any manner, refer to liquidation, which is only availed of as a last resort if there is either no resolution plan or the resolution plans submitted are not up to the mark. Even in liquidation, the liquidator can sell the business of the corporate debtor as a going concern. [See ArcelorMittal (supra) at paragraph 83, footnote 3].(Emphasis added)

12. It can thus be seen that the primary focus of the legislation is to ensure revival and continuation of the corporate debtor by protecting the corporate debtor from its own management and from a corporate death by liquidation. The Code is thus a beneficial legislation which puts the corporate debtor back on its feet, not being a mere recovery legislation for creditors. The interests of the corporate debtor have, therefore, been bifurcated and separated from that of its promoters /those who are in management. Thus, the resolution process is not adversarial to the corporate debtor but, in fact, protective of its interests. The moratorium imposed by Section 14 is in the interest of the corporate debtor itself, thereby preserving the assets of the corporate debtor during the resolution process. The timelines within which the resolution process is to take place again protects the corporate debtor's assets from further dilution, and also protects all its creditors and workers by seeing that the resolution process goes through as fast as possible so that another management can, through its entrepreneurial skills, resuscitate the corporate debtor to achieve all these ends."

45. In the case of *Sekaran v. Amit Gupta & Ors., (2019) ibclaw.in 02 NCLAT,* Hon'ble NCLAT has ordered as follows

*"In view of the provision of Section 230 and the decision of the Hon'ble Supreme Court in '*Meghal Homes Pvt. Ltd.*' and '*Swiss Ribbons Pvt. Ltd.*', we direct the 'Liquidator' to proceed in accordance with law. He will verify claims of all the creditors; take into custody and control of all the assets, property, effects and actionable claims of the 'corporate debtor', carry on the business of the 'corporate debtor' for its beneficial liquidation etc. as prescribed under Section 35 of the I&B Code. The Liquidator will access information under Section 33 and will consolidate the claim under Section 38 and after verification of claim in terms of Section 39 will either admit or reject the claim,*

as required under Section 40. Before taking steps to sell the assets of the 'corporate debtor(s)' (companies herein), the Liquidator will take steps in terms of Section 230 of the Companies Act, 2013. The Adjudicating Authority, if so required, will pass appropriate order. Only on failure of revival, the Adjudicating Authority and the Liquidator will first proceed with the sale of company's assets wholly and thereafter, if not possible to sell the company in part and in accordance with law"

46. In view of the aforementioned judgments, it is clear that the primary focus of the IBC is for revival of the Corporate Debtor. Since the present Scheme would aid in revival of the Corporate Debtor and put the Corporate Debtor back on its feet, this Tribunal approves the Scheme proposed by the Scheme proponent.

47. This Tribunal takes note of the Affidavit dated 27.02.2026 filed by the liquidator stating that all liquidation and CIRP expenses are wholly met till date and no monies are required to be provided under the Scheme for such expenses. Further in respect of the application pending under Section 43,45 and 66 of the Code, neither the creditors nor the Scheme proponent have made any claim to take over the benefits of such application, the same may be closed at the stage of sanction of the Scheme as the continuation of the same would not serve any purpose.

48. Scheme Proponent has sought for reliefs and concessions under the Scheme and the same are dealt with hereunder:

Sl.No.	RELIEFS AND CONCESSIONS SOUGHT FOR	Granted / Not Granted
I	**From State Government**	
1	All relevant Governmental Authorities to renew all license, permissions, approvals, No Objections Certificates & consents to operate, as the case may be, without payment of any fees, interest, penalty, fines or any Other charges and to grant waiver of any past dues, fees, penalty or charges of any kind;	It is for the relevant authorities to consider.
2	All relevant Governmental Authorities to grant relief from payment of stamp duty, registration charges and applicable fee (including but not limited to the fees payable to the jurisdictional registrar of companies) for the (i) successful implementation of the Scheme (including in relation to the Applicants and the Company for amendment of terms of preference shares issued by the Company, Capital reduction, issuance or transfer of shares including Equity Shares and OCDs, loan agreements or other instruments for fund etc, as contemplated in this scheme; and (ii) all other related documents that may be executed pursuant to the Scheme:	It is for the relevant authorities to consider.

3	To declare the unit as a relief undertaking.	It is for the relevant authorities to consider.
4	To provide other relief and concessions allowable according to State policy for the rehabilitation of the sick industries.	It is for the relevant authorities to consider.
5	All assets including properties, whether freehold, leasehold or license basis Of the Company to be vested with Applicants, free and clear Of all Encumbrances and disputes, except as otherwise contemplated in the Scheme.	Granted
6	Grant electricity duty/tax exemption for the period of 5 years from the date of sanction of the scheme.	It is for the relevant authorities to consider.
7	Waiver of minimum demand charges, Medium Term Open Access charges (MTOA), Short 'Term Open Access charges (STOA) and MCG/ minimum charges for the period of 5 years from the date of sanction of the scheme.	It is for the relevant authorities to consider.
8	No provision whatsoever is made or required to be made for any contingent liabilities/pending	Granted

	litigations for cases relating to Value Added Tax (VAT) and the same shall be deemed to be extinguished in view of no claim before the liquidator.	
II	**Central Board of Indirect Taxes/Goods and Service Tax Department**	
9	To grant concession/reduction of GST, as the Company is in liquidation, on all future sales and purchases for a period of 5 years from the date of sanction of the Scheme.	It is for the relevant authorities to consider
10	To extend the period of utilization for exemption/deferment, which could not be utilized within the stipulated period and therefore, the same would be now utilized during the period of rehabilitation for a period of five years.	It is for the relevant authorities to consider
11	To waive off interest and penalty payable to the Goods and Service Tax Department on delayed payment of GST and other statutory dues or any other amount due to the Department	Granted in respect of liability, violations, penalities prior to CIRP date.
12	Goods and Service Tax Department not to take any other actions with respect to the transactions contemplated under this plan under Section 81 of	It is for the relevant authorities to

	the Central goods and Service Tax Act, 2017 and not impose any successor liability on the Applicants or the Company, also Central Board Of Indirect Taxes, and customs/ respective value — added tax / goods and Service Tax / Central State Tax/Service Tax/ Entry Tax authorities to waive the tax liability (including without limitation, for any penalty, interest, fines or fees etc) if any, arising as a result of giving effect to the plan under the provisions of the customs Act, 1962, the Goods and Service Tax Act, 2017 and any other indirect Tax Laws.	consider as per the provisions of the IBC.
13	Goods and Service Tax Department to relieve the Company, in respect of any period prior to the payment date, from all liabilities, obligations including payment obligations of the Company arising out of any past or pending or yet to be initiated litigations (including all proceeding and appeals) inquiries, investigations, orders, show cause notice, (including but not limited to the claims of the Government Authorities whether admitted or not) at different levels including which are already crystallized or may crystallize subsequent to the payment Date and according, waive any Tax dues (Including those arising out of assessment claims) including interest, fine, any	Granted in view of the provisions of IBC.

	penalty (By whatever name called) on such litigations and proceedings. However, all proceedings, inquiries, investigations, orders, show cause, notices suits, litigation etc, initiated by the Company in respect of claiming a certain amount as refund shall remain outstanding and the Company shall be entitled to pursue the same for recovery of such amounts claimed.	
14	No provision whatsoever is made or required to be made for any contingent liabilities/pending litigations for Central Excise & Customs and the same shall be deemed to be extinguished in view of no claim before the liquidator.	Granted
III	**Central Board of Direct Taxes/Income Tax Department**	
15	To allow tax benefits under section 72 of the Income tax act 1961 to carry forward the unabsorbed business losses and unabsorbed depreciation without any limitation period including business losses, which have lapsed.	It is for the appropriate authorities to consider.
16	To exempt the Company from the applicable of the payment of Minimum Alternate Tax under section 115B, 115JAA of the Income Tax Act, 1961.	It is for the appropriate authorities to consider.

17	To exempt the Company from the provisions of section 80 read with section 139 of Income Tax Act 1961.	It is for the appropriate authorities to consider.
18	The Central Board of Direct Taxes, (CBDT) relevant Tax authorities and its enforcing officers and / or agencies (including but not limited to the Assessing officer, commissioner of Income Tax, Commissioner of Income Tax (Appeals) and Income tax Appellant Tribunal) to allow the brought forward as well as carry forward to business losses / book losses and unabsorbed tax/books depreciation and allow the write back of secured financial creditors as a result of giving effect to scheme as capital receipt without any tax liability.	It is for the appropriate authorities to consider.
19	The CBDT and relevant Tax authorities to grant relief from affording a reasonable opportunity of being heard to jurisdictional principal commissioner in terms of section 79 of the IT act, where applicable, and shall consider that for the purposes of Section 79 of the Income Tax Act, 1961 any change in shareholding of the Company pursuant to the scheme does not lead to lapse of brought forward losses of the Company.	It is for the appropriate authorities to consider.

20	The CBDT to allow Company to file all the returns, reports forms which have not been filed or considered as invalid, if any, under any Applicable Law, including return of Income Tax audit report, form 29B, under the IT Act and other returns/reports/forms in respect of tax deducted/collected at source, as may be applicable notwithstanding that the statutory period for such filing may have expired and such returns, once filed, shall be considered as having been filed within the permitted due date and such filings shall be deemed to be final and accepted by the tax authorities and shall not be liable for any assessment or re-assessment by any other tax authorities. Accordingly, the CBDT /relevant Tax authorities and its enforcing officers and/ or agencies (including but not limited to the Assessing Officer, Commissioner of Income Tax, Commissioner of Income Tax (Appeals) and Income tax Appellant Tribunal) shall not charge any interest and penalty in respect of non-compliances under the IT act in relation to the non-filing or late filing any return/forms under IT Act including return of Income Tax, audit report, from 29B, returns for tax deducted/collected at source pertaining to any period prior to the	It is for the appropriate authorities to consider.

	closing date.	
21	All relevant Government Authorities (including for the avoidance of doubt, the Enforcement Directorate and the serious Fraud investigation office) not to attach] take any other action including initiating or continuing criminal proceedings against or in respect of the Company and its assets and properties under the Prevention of Money Laundering Act, 2002, Prevention of Corruption Act 1988, the Companies Act 2013, Income Tax Act, 1961, the Indian Penal code or any other similar Applicable law dealing with fraud, money laundering or any other economic offences.	Granted for the period prior to CIRP in terms of Section 32A of IBC.
22	No provision whatsoever is made or required to be made for any contingent liabilities/pending litigations and the same shall be deemed to be extinguished in view of no claim before the liquidator.	Granted
IV	**ESI AND PF Department**	
23	To waive all interest, penalties and damages for delay in deposit of the due amount and for any other procedural lapse. No provision whatsoever is made or required to be made for any	Granted in respect of liability, violations, penalities prior to

	contingent liabilities/pending litigations and the same shall be deemed to be extinguished in view of no claim before the liquidator.	approval of the Scheme.
V	**Ministry of Corporate Affairs**	
24	Ministry of Corporate Affairs and Registrar of Companies to grant waiver from all the procedural requirement, steps, procedures, compliances and actions including but not limited to those in terms of Section 42, 62, 13 and 14 of the Companies Act, and (Procedure for Reduction of Share Capital) Rules, 2016 for reduction of share capital and issuance of Equity Shares. It shall also grant waiver from the requirement of obtaining valuation report in relation to Equity Shares and OCD issuance as contemplated under the Scheme, under the companies Act, 2013 and the companies Registered Valuers and Valuation Rules 2017.	It is for the appropriate authorities to consider
25	Ministry of Corporate affairs and Registrar of Companies to grant waiver from all the procedural requirements, steps, procedures, compliances and actions in terms of sections 13 of the companies Act and Companies (incorporation) Rules, 2014 for alteration in the object clause under the Memorandum of	It is for the appropriate authorities to consider

	Association, if so desired by the Applicants and to the extent the same is in accordance with the provisions of the Scheme the Applicants and to the extent the same is in accordance with the provisions of the Scheme.	
26	Ministry of Corporate affairs and registrar of companies grant exemption from the applicability of section 185, 186, 188 of the Companies Act in respect of any actions as contemplated in the Scheme and from the applicability of Section 73 to section 76A of the Company law and the companies (Acceptance of Deposits) Rules, 2014, if and to the extent applicable, on account of various transactions as contemplated under this Scheme including but not limited to in relation to issue of OCDs and infusion of debt or debt instrument by the Applicants either by themselves or through their group companies.	It is for the appropriate authorities to consider
27	The Ministry of Corporate Affairs and Registrar of Companies, Chennai to grant waiver of fee/any charges payable on increase in authorized capital as well as paid-up capital due to induction of funds by the investor for the purpose of revival of the corporate debtor.	Not Granted. Differential amount (if any) that arises in terms of applicable rules

		and provisions shall be paid by the Scheme proponent.
28	The Ministry of Corporate Affairs and Registrar of Companies, Chennai to waive any charges and penalties to be levied on account of non-compliance of filing of audited accounts, annual returns and other statutory compliances upto the date of the approval of this Scheme.	Granted
29	The Registrar of Companies, Chennai to take on record and implement the Scheme, upon approval of the scheme by the NCLT, without any further action or compliances and on and from the closing date, the status of the Company in the records of the Registrar of Companies should be reflected as active' from the status of liquidation.	Granted
30	To grant exemption from Section 79, Section 81, Section 293 (1)(d) and Section 370 of the Companies Act, 1956 for raising of capital and acceptance of loans.	IT is for the appropriate authorities to consider
31	No provision whatsoever is made or required to made for any contingent liabilities/pending	Granted

	litigations and the same shall be deemed to be extinguished in view of no claim before the liquidator.	
VI	**OTHERS**	
32	The Company should be exempted from the limitation period as well as stamp duty for filing of suit against its debtors due to funds constraints.	Not Granted
33	Similar to the provisions of Section 238 of the Code, this Scheme shall override the requirement stipulated under any other laws and therefore any action undertaken pursuant to the scheme by the Applicants to not require compliance with requirements under any other law.	It is for the appropriate authorities to consider.
34	Nothing in this Scheme shall affect the rights of the Company to recovery any amounts due to the Company from any third party (including any related party) and there shall be no set off of any such amounts recoverably by the Company or any liability extinguished pursuant to this scheme.	Granted

49. The Scheme Proponent shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make

the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Corporate Debtor.

50. While approving the Scheme as above, it is clarified that this order shall not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

51. Since the Scheme is proposed for the Corporate Debtor under liquidation, the appointed date is the date of order of this Tribunal. The Effective date as per the Scheme is date on when the certified copy of this order is filed before the Registrar of Companies.

52. Scheme proponent shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Corporate Debtor shall be deemed to transferred.

-Sd-	**-Sd-**
VENKATARAMAN SUBRAMANIAM	**SANJIV JAIN**
Member (Technical)	Member (Judicial)